corporate cut announcement, which was in fact much lower than the increase in the first six months of financial year 2019–20. In September 2020, the number of active manufacturing companies reached 2,53,801, recording an increase of 14,120 in six months. This was an impressive increase considering the fact that the first quarter of 2020–21 was practically lost to COVID-19 and the lockdown. The number of active manufacturing companies reached 2,68,069 by the end of February 2021, an increase of 14,268 in five months. More than 30,000 active manufacturing companies were added in financial year 2020–21, which confirms either registration of new manufacturing facilities or conversion of existing non-corporate companies into manufacturing companies.

The medium-term impact of the corporate tax cuts is likely to be a clear loss in revenues. There would also be pressure to extend the lower rate of 15 per cent to new non-manufacturing companies, thereby regressing the corporate tax rate to 15 per cent for all. The impact on advancing manufacturing in the country will have to be assessed in the next few years.

A possible alternative could have been to extend the concessional corporate tax rate of 15 per cent effectively to manufacturing businesses relocating from outside India and the new manufacturing facilities established for exporting the bulk of their product. It would have made the tax giveaway targeted and offered a real competitive advantage. As a broad-based general measure, it may still attract some companies to shift their manufacturing base to India. However, much more advantage is likely to be taken by existing companies shifting their manufacturing to new companies and non-corporate firms to convert into companies to claim lower corporate tax rates.

There is no possible way to estimate the tax loss as no one knows how many companies (with what profitability and tax profile) would opt for this new taxation regime in the financial years from 2019–20 to 2022–23. This will only become clearer with time. One consequence has, however, been